

Lecture 6

Franchising



15-1

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Chapter Objectives

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1. Explain franchising and how this form of business ownership works.
2. Describe steps entrepreneurs can take to establish a franchise system.
3. Become familiar with the advantages and disadvantages of establishing a franchise system.
4. Describe actions and issues associated with the decision to buy a franchise.



Chapter Objectives

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5. Explain the steps an entrepreneur goes through to buy a franchise.
6. Identify and explain the various legal aspects associated with the franchise relationship.
7. Discuss two additional issues—franchise ethics and international franchising—entrepreneurs should think about when considering franchising.



What is Franchising?

- Franchising
 - Franchising is a form of business organization in which a firm that already has a successful product or service (franchisor) licenses its trademark and method of doing business to another business or individual (franchisee) in exchange for a franchise fee and an ongoing royalty payment.
 - Some franchisors are established firms (like McDonald's) while others are first-time enterprises being launched by entrepreneurs (like Uptown Cheapskate).



Two Types of Franchise Systems

1 of 2

- **Product and Trademark Franchise**
 - An arrangement under which the franchisor grants to the franchisee the right to buy its products and use its trade name.
 - This approach typically connects a single manufacturer with a network of dealers or distributors.
 - For example, General Motors has established a network of dealers that sell GM cars and use the GM trademark in their advertising and promotions.
 - Other examples of product and trademark franchisors include agricultural machinery dealers, soft drink bottlers, and beer distributorships.



Two Types of Franchise Systems

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■ Business Format Franchise

- An arrangement under which the franchisor provides a formula for doing business to the franchisee along with training, advertising, and other forms of assistance.
- Fast-food restaurants, convenience stores, and motels are well-known examples of business format franchises.
 - Business format franchises are by far the most popular form of franchising, particularly for entrepreneurial firms.



10 Industries In Which Business Format Franchises Predominate

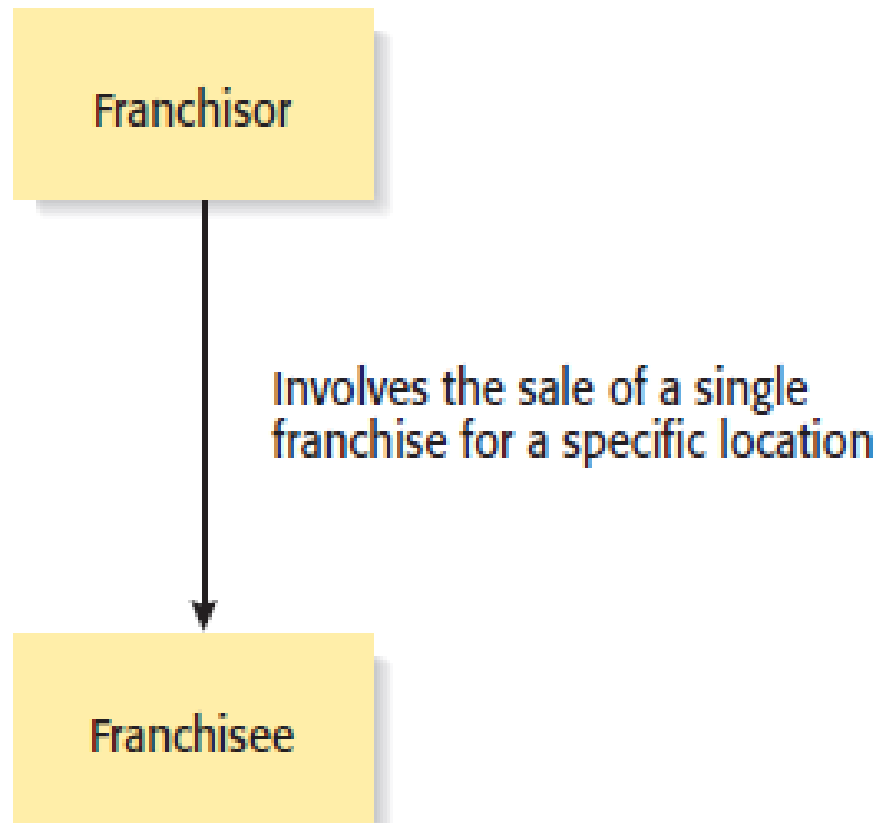
1. Automotive
2. Business Services
3. Commercial and Residential Services
4. Lodging
5. Personal Services
6. Quick Service Restaurants
7. Real Estate
8. Retail Food
9. Retail Products & Services
10. Table/Full-Service Restaurants



Types of Franchise Agreements

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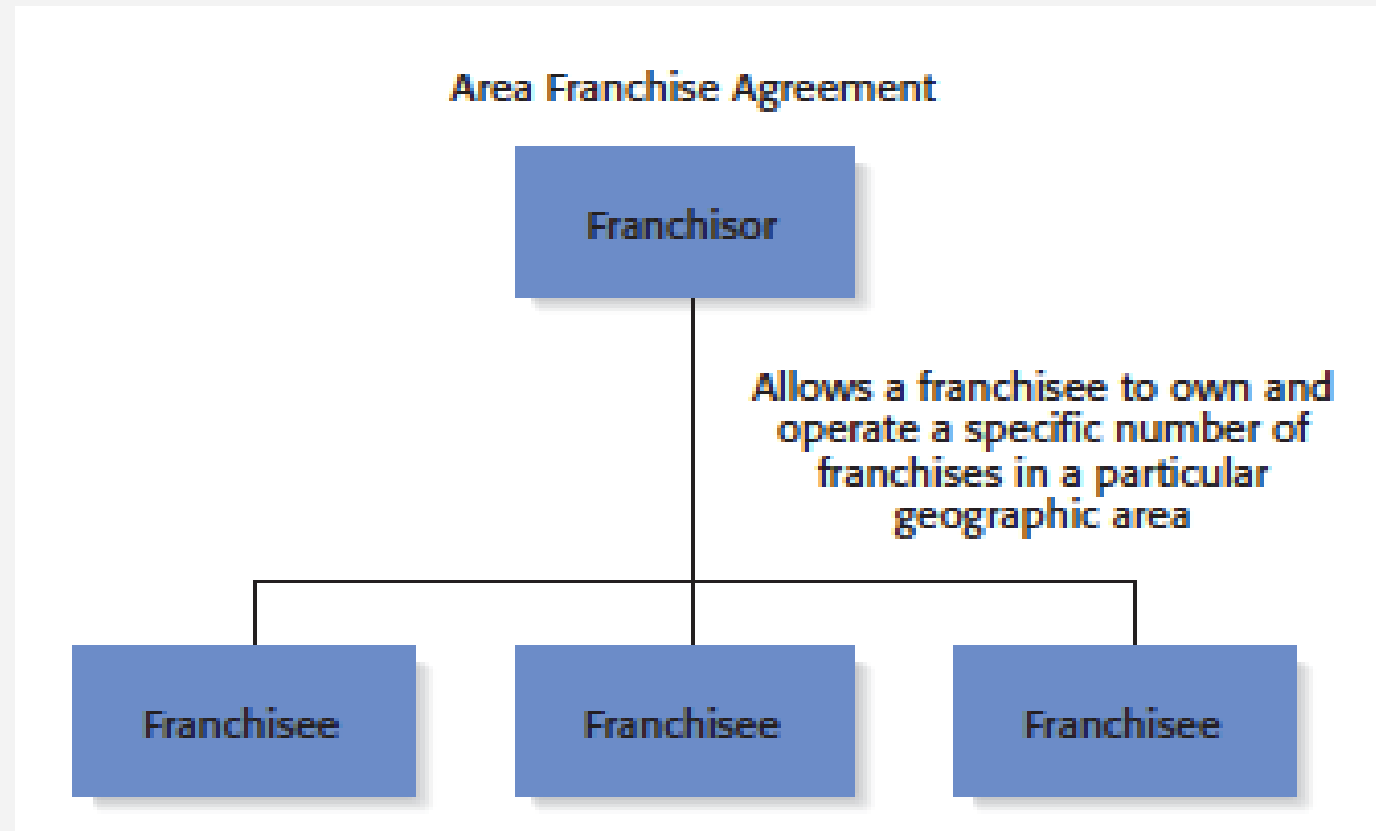
Individual Franchise Agreement



Types of Franchise Agreements

2 of 3

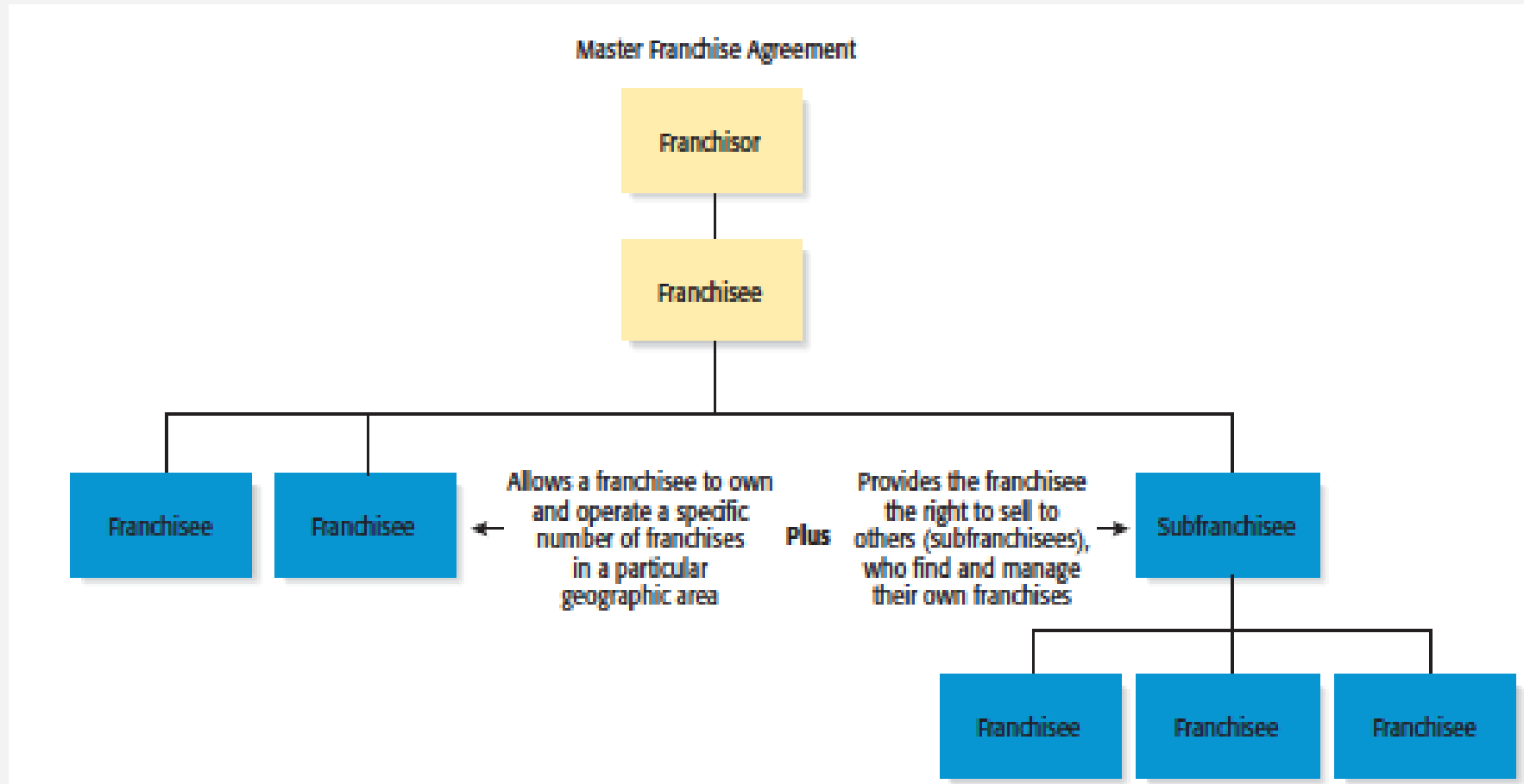
Area Franchise Agreement



Types of Franchise Agreements

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Master Franchise Agreement

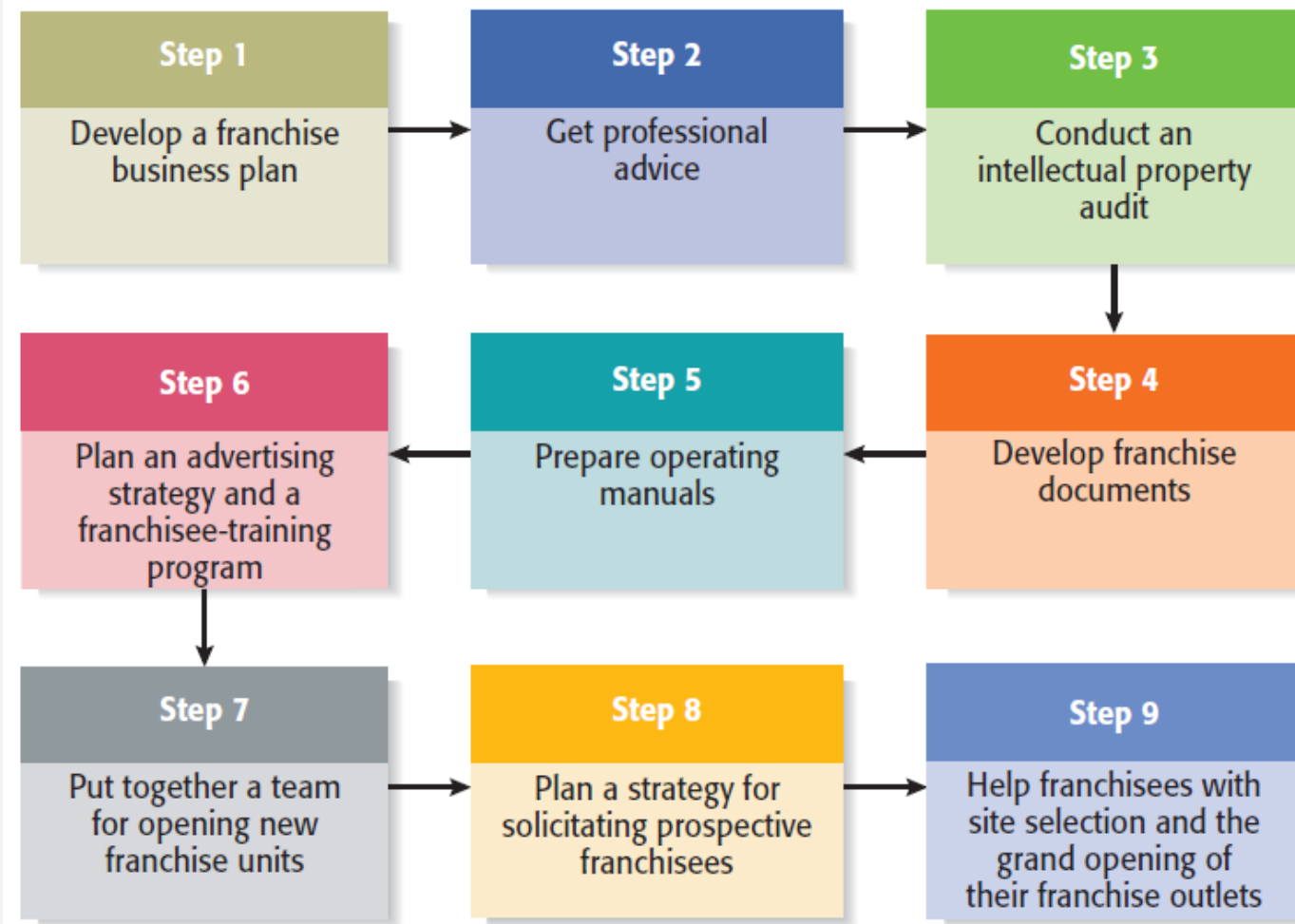


When to Franchise?

- When Is Franchising Most Appropriate?
 - Franchising is most appropriate when a firm has a strong or potentially strong trademark, a well-designed business method, and a desire to grow.
 - In some instances franchising is not appropriate.
 - For example, franchising works for Burger King but would not work for Walmart.
 - Each individual Burger King store is relatively small and policies and procedures can be written for almost any contingency.
 - In contrast, Walmart stores are much larger, more expensive to build, and more complex to run compared to Burger King. It would be nearly impossible for Walmart to find enough franchisees with the financial capital and expertise to run its more than 11,000 stores.



Nine Steps in Setting Up a Franchise System



Qualities to Look for in Prospective Franchisees

- Good work ethic.
- Ability to follow instructions.
- Ability to operate with minimal supervision.
- Team oriented.
- Experience in the industry in which the franchise competes.
- Adequate financial resources and good credit history.
- Ability to make suggestions without becoming confrontational or upset if the suggestions are not adopted.
- Represents the franchisor in a positive manner.



Ways Franchisors Can Develop the Potential of Their Franchisees

- Provide mentoring that supersedes routine training.
- Keep operating manuals up-to-date.
- Keep products, services, and business systems up to date.
- Solicit input from franchisees to reinforce their importance in the larger system.
- Encourage franchisees to develop a franchise association.
- Maintain the franchise system's integrity.



Advantages and Disadvantages of Franchising as a Method of Business Expansion

Advantages

- Rapid, low-cost market expansion.
- Income from franchise fees and royalties.
- Franchisee motivation.
- Access to ideas and suggestions.
- Cost savings.
- Increased buying power.

Disadvantages

- Profit sharing.
- Loss of control.
- Friction with franchisees.
- Managing growth.
- Differences in required business skills.
- Legal expenses.



Buying a Franchise

From the Franchisee's Point of View

1 of 3

■ Buying a Franchise

- Purchasing a franchise is an important business decision involving a substantial financial commitment.
- Potential franchise owners should strive to be as well informed as possible before purchasing a franchise and should be aware that it is often legally and financially difficult to exit a franchise relationship.



Buying a Franchise

2 of 3

Answering the following questions will help determine if franchising is right for you

- Are you willing to take orders? Franchises are typically very particular about how outlets operate.
- Are you willing to be part of a franchise “system” rather than be an independent businessperson?
- How will you react if you make a suggestion to your franchisor and your suggestion is rejected?
- What are you looking for in a business? How hard do you want to work?



Buying a Franchise

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Answering the following questions will help determine if franchising is right for you

- How willing are you to put your money at risk? How will you feel if your business is operating at a net loss but you will have to pay royalties on your gross income?



The Costs Involved With Buying a Franchise

1 of 3

- Initial Franchise Fee
 - The initial fee varies depending on the franchisor.
- Capital Requirements
 - The costs vary but may include the cost of buying real estate, the cost of putting up a building, the purchase of inventory, and the cost of obtaining a business license.
- Continuing Royalty Payment
 - Is usually around 5% of monthly gross income.



The Costs Involved With Buying a Franchise

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- Advertising Fees
 - Franchisees are often required to pay into a national or regional advertising fund.
- Other Fees
 - Other fees may be charged for various activities, including:
 - Training additional staff.
 - Providing management expertise when needed.
 - Providing computer assistance.
 - Providing a host of other items or support services.



The Costs Involved With Buying a Franchise

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TABLE 15.4 Initial Costs to the Franchisee of a Sample of Franchise Organizations

Franchise Organization	Year Started Franchising	Company-Owned Units	Franchised Units	Franchise Fee	Ongoing Royalty Fee	Total Initial Investment
Anytime Fitness	2002	28	2,511	\$22,500 varies	\$549/ month	\$78,700–\$371,175
Budget Blinds	1994	0	929	\$14,950	Varies	\$89,240–\$187,070
Coffee News	1994	5	819	\$9,000	\$25–\$80/ week	\$10,250–\$11,250
Edible Arrangements	2001	3	1,150	\$30,000	5%	\$155,999–\$276,984
Hampton Inn Hotels	1984	1	1,943	\$75,000	6%	\$3.7–\$6.6 million
Liberty Tax Service	1973	180	4,226	\$40,000	14%	\$56,800–\$69,900
Papa John's	1986	724	2,616	\$25,000 varies	5%	\$129,910–\$644,210
Qdoba Mexican Grill	1997	284	313	\$30,000	5%	\$594,000–\$795,000
The UPS Store	2001	0	4,789	\$29,950	8.5%	\$150,152–\$420,299
Wetzel's Pretzels	1996	12	284	\$35,000	7%	\$156,300–\$370,950

Source: Based on Entrepreneur.com, www.entrepreneur.com (accessed August 15, 2014).



Advantages and Disadvantages of Buying a Franchise

Advantages

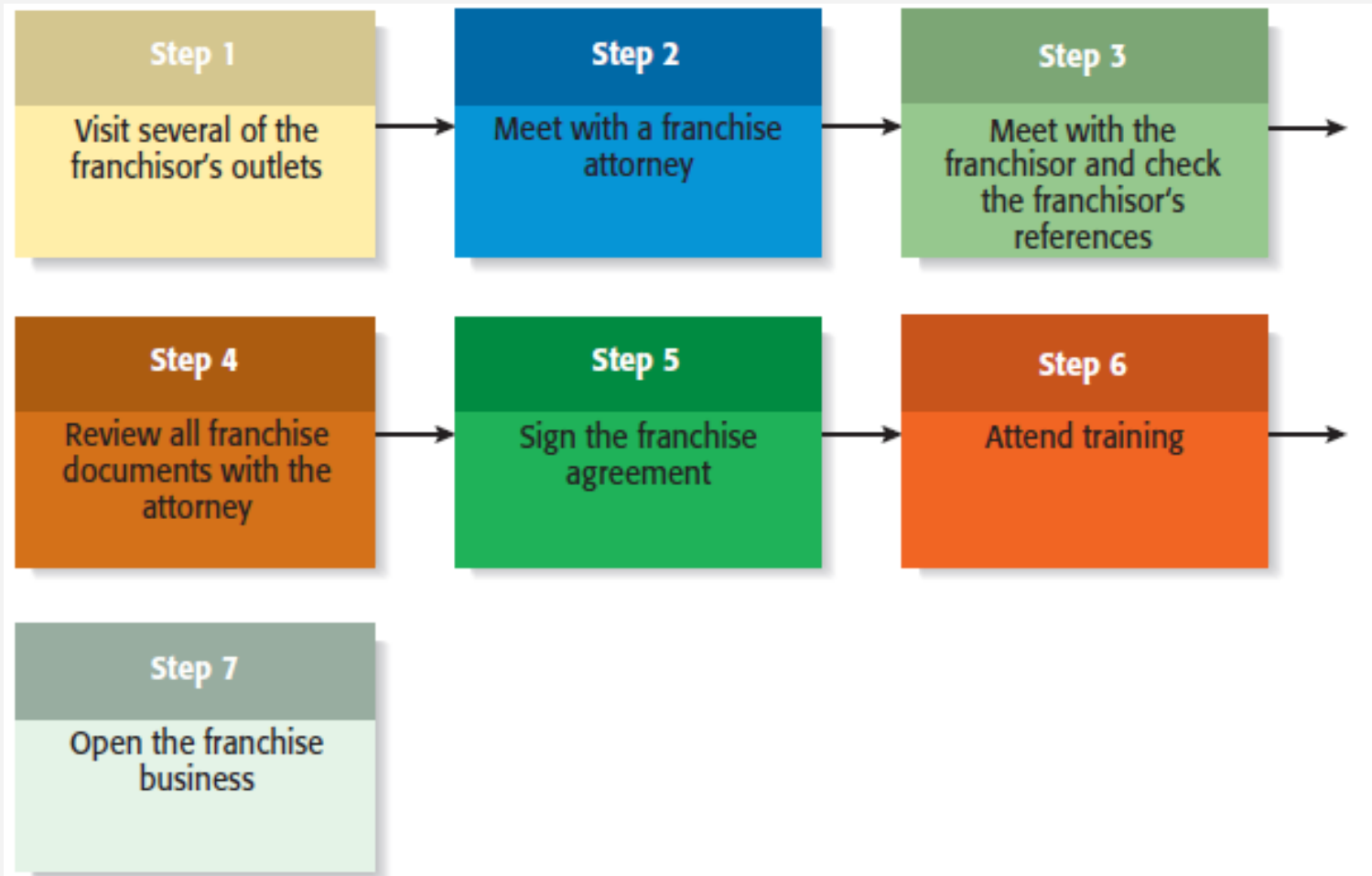
- A proven product or service within an established market.
- An established trademark or business system.
- Franchisor's training, technical expertise, and managerial expertise.
- An established marketing network.
- Franchisor ongoing support.
- Availability of financing.
- Potential for business growth.

Disadvantages

- Cost of the franchise.
- Restrictions on creativity.
- Duration and nature of the commitment.
- Risk of fraud, misunderstandings, or lack of franchisor commitment.
- Problems of termination or transfer.
- Poor performance on the part of other franchisees.
- Potential for failure.



Seven Steps in Purchasing a Franchise



Watch Out! Common Misconceptions About Franchising

- Franchising is a safe investment.
- A strong industry ensures franchise success.
- A franchise is a “proven” business system.
- There is no need to hire a franchise attorney or an accountant.
- The best systems grow rapidly and it is best to be part of a rapid-growth system.
- I can operate my franchise outlet for less than the franchisor predicts.
- The franchisor is a nice person—he’ll help me out if I need it.



Legal Aspects of the Franchise Relationship

■ Federal Rules and Regulations

- The offer and sale of a franchise are regulated at the federal level.
 - According to Federal Trade Commission (FTC) rule 436, franchisors must furnish potential franchisees with written disclosures that provide information about the franchisor, the franchised business, and the franchise relationship.
 - In most cases, the disclosures are made through a lengthy document referred to as the Franchisor Disclosure Document (FDD).
 - The FDD contains 23 categories of information that give a prospective franchisee a broad base of information about the background and financial health of the franchisor.



More About Franchising

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■ Franchise Ethics

- The majority of franchisors and franchisees are highly ethical.
- There are certain features of franchising, however, that make it subject to ethical abuse. These features are as follows:
 - The get-rich-quick mentality.
 - The false assumption that buying a franchise is a guarantee of business success.
 - Conflicts of interest between franchisors and franchisees.



More About Franchising

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- International Franchising
 - International opportunities for franchising are becoming more prevalent for the following two reasons:
 - The markets for certain franchised products in the U.S. have become saturated (i.e., fast food).
 - The trend toward globalization continues.
 - Steps to take before buying a franchise overseas:
 - Consider the value of the franchisor's name in the foreign country.
 - Get a good lawyer.
 - Determine whether the product or service is saleable in the foreign country.
 - Find out how much training and support you will receive from the franchisor.



ANY QUESTION?



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